in national income. Such activities have value and satisfy the wants of the people but they are not considered as productive from the point of view of society.

2.7.5 Production for self-consumption and changing price

Farmers keep a large portion of food and other goods produced on the farm for self consumption. The problem is whether that part of the produce which is not sold in the market can be included in national income or not.

National income by product method is measured by the value of final goods and services at current market prices. But prices do not remain stable. They rise or fall. To solve this problem, economists calculate the real national income at a constant price level by the consumer price index.

2.7.6 Capital Gains

The problem also arises with regard to capital gains. Capital gains arise when a capital asset such as a house, other property, stocks or shares, etc. is sold at higher price than was paid for it at the time of purchase. Capital gains are excluded from national income.

2.7.7 Statistical problems

There are statistical problems, too. Great care is required to avoid double counting. Statistical data may not be perfectly reliable, when they are compiled from numerous sources. Skill and efficiency of the statistical staff and cooperation of people at large are also equally important in estimating national income.

The following are some of the statistical problems:

1. Accurate and reliable data are not adequate, as farm output in the subsistence sector is not completely informed. In animal husbandry, there are no authentic production data available.

2. Different languages, customs, etc., also create problems in computing estimates.

3. People in India are indifferent to the official inquiries. They are in most cases non-cooperative also.

4. Most of the statistical staff are untrained and inefficient.

Therefore, national income estimates in our country are not very accurate or adequate. There is at least 10 per cent margin of error, i.e., national income is overestimated or underestimated by at least 10 per cent. That is why the GDP estimates for India varies from 2 trillion US dollar to 5 trillion US dollar.

2.8 National Income and Social Accounting

National income is also being measured by the social accounting method. Under this method, the transactions among various sectors such as firms, households, government, etc., are recorded and their interrelationships traced. The social accounting framework is useful for economists as well as policy makers,

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